

Mid-term exam

The task to predict logarithm of wages based on education, experience and IQ, hours worked. The variables are as follows:

- *lwage*
logarithm monthly earnings
- *hours*
average weekly hours
- *IQ*
IQ score
- *educ*
years of education
- *exper*
years of work experience

The .csv file is Wage2_merged.csv.

1. Choose randomly two sets of 100 data points from your data set, and for each data set compute the mean, variance, and the histogram of each of the variables *lwage*, *hours*, *IQ*. Are these values similar for the two data sets ? Can we say that each of these variables are independetly identically sampled ? Use hypothesis testing to compare the distribution of these two data sets.